



ERODED EQUITY
More than their businesses, it's their reputation that Paytm and BYJU'S will find it difficult to rebuild

PURUSHOTTAM DIWAKAR

In both their cases, overreach and overambition led them to make disastrous decisions. Where both companies also erred was in flouting corporate governance norms

looking to raise money to fund operations via a $200 million (Rs 1,656 crore) rights issue that they floated in January this year at an enterprise valuation in the range of $220-250 million. Both parties went to court—T&L to the Karnataka High Court seeking to invalidate the EGM and the investors approaching the National Company Law Tribunal (NCLT) asking for a stay on the rights issue, which, they feared, would reduce their shareholding if they didn't subscribe. The Karnataka HC has ordered a status quo on any decisions at the EGM till the next date of hearing on March 13. Meanwhile, the NCLT has directed T&L to keep the funds raised via the rights issue in a separate escrow account and not withdraw it.

So far, the company hasn't paid February salaries to employees and there are outstanding payments related to the employees' provident fund, vendors and other service providers. In a letter to staff after the rights issue was closed earlier this month, Raveendran said, "I want you to know that I have fought fearlessly and tirelessly, leaving no stone unturned, to find a way to honour our commitment to you. However, despite our best efforts, we are left with no option but to confront the heart-wrenching reality that we are temporarily unable to provide you with the financial support you deserve. We are striving to ensure that your salaries are paid by the 10th of March." An email INDIA TODAY sent to BYJU'S elicited no response.

Where both companies erred, in the reckoning of several experts, was in their laxity in adhering to corporate governance standards. "There are two facts to note here," says Prashant Choksey, co-founder, Mumbai Angels, a venture capital network. "First, there is no substitute for corporate governance. Second, one should not confuse size with a company's maturity. In Paytm's case, the regulator is after them; in BYJU'S case, it's the investors. Both faltered on corporate governance and maturity." Now, Sharma as well as Raveendran have a mountain to climb to regain their lost stature. For the moment, there have been brave statements from both about continuing to work towards restoring their businesses and making a comeback.

That said, Sharma and Raveendran's experiences should serve as a wake-up call for the start-up universe. That the thrust on corporate governance should be built in from the very early stages of a business. "Today, by running a company where there is no unit economics, no bottom line or profitability and survival only by raising more capital, you will actually go out of business, which is happening in the ecosystem and will continue to happen," says Maitra. The fall of its poster boys will not mean that India's vibrant start-up ecosystem will come to a halt; it will continue to buzz with new ventures, some of them path-breaking. But the Sharma-Raveendran saga should be a lesson that there is no substitute for corporate governance and due diligence is a must at every step of a start-up's journey. Even if it means scaling down their dreams. ■